

Please Send Money

than emotion in the decision-making process, sometimes emotion is more compelling than logic. How many of your decisions regarding finances were influenced by logic and how many were influenced by emotion? Take a moment to fill in the following chart with major financial purchases you have made in your life. Then next to each purchase, decide whether it was an emotional or logical decision. When you have finished, total up the amount of times you answered “emotional” and “logical.” The column with the highest total shows you your inclination to follow your heart or your head:

Purchase	Emotional	Logical
Ex. Brand new car	X	
Ex: Student loan		X
TOTALS		

How many of your money mistakes were emotional decisions compared to logical ones? If the greater percentage were decided emotionally, you may want to refrain from making hasty purchases in the future. You should retreat from the point of purchase and think about it for a while. Comparing prices and analyzing against your budget are ways to involve the logical mind more in the purchasing process.

Phil fell in love with a car that he couldn't quite afford, but had to have anyway. This was an emotional decision. On the other hand, if he had passed up the perfect car in favor of another one, which fit his original budget, his decision would have been a logical one.

As soon as he drove off the lot, his new car immediately became used and promptly lost several thousand dollars in value. Buyer's remorse filled his consciousness as he drove further and

